

Profit Niti – AI Report (2025-04-01 / 2025-11-30)

Last Month KPI Data (November 2025)

 Sales 2,024,000 192% Last month 693,000	 Gross Margin 2,024,000 192% Last month 693,000
 Operating Profit 1,463,544 384% Last month 302,223	 Break Even Sales 560,456 43% Last month 390,777
 Accounts Receivable 2,898,894 6% Last month 2,735,694	 Accounts Payable -1,237,279 -2% Last month -1,214,776
 Working Capital 4,136,173 5% Last month 3,950,470	 Closing Stock 0 0% Last month 0
 Bs Category 69 - STEADY 13% Last month 61 - STEADY	 Impact Of Decisions -575,767 -1,278% Last month 48,891

1. Big Picture — How the Business Looks Right Now

The business has shown significant growth in its financial position over the period. Total Equity and Liabilities grew from ₹36.08 lakh in April to ₹64.76 lakh in November, indicating an expanding scale of operations. Profitability has been volatile, with a net loss of ₹1.35 lakh in April turning into a strong net profit of ₹14.64 lakh in November. However, the journey included a major loss of ₹6.89 lakh in August, highlighting instability in monthly earnings.

Sales revenue has been highly variable, starting at ₹3.67 lakh in April and reaching ₹20.24 lakh in November, with a peak of ₹16.98 lakh in September. The company's cash position ended stronger at ₹14.01 lakh in November compared to ₹12.05 lakh in April, despite significant monthly fluctuations. Debt levels have been reduced, with Total Non-Current Liabilities decreasing from ₹18.29 lakh to ₹11.06 lakh over the period.

GREEN FLAG BOX — What's Working Well

- **Strong Profitability Recovery:** Net profit surged to ₹14.64 lakh in November with a high Net Profit % of 72.31, a major turnaround from the loss in April.
- **Robust Equity Growth:** Total Equity increased substantially from ₹12.44 lakh to ₹46.69 lakh, strengthening the company's financial base.
- **Excellent Liquidity Position:** The Current Ratio remained healthy above 5.0 throughout, reaching 7.81 in November, indicating strong short-term solvency.

RED FLAG BOX — What Needs Attention

- **Extreme Profit Volatility:** Profits swung wildly, from ₹10.71 lakh in May to a loss of ₹6.89 lakh in August, indicating unstable operations.
- **Negative Operating Cash Flows:** Cash flows from Operating Activity were negative in most months, including -₹1.86 lakh in November, hurting liquidity generation.
- **High Overhead Spikes:** Overheads % reached 271.05 in August, consuming all revenue and leading to significant losses, pointing to poor cost control.

Strategic Advice:

Prioritise stabilising monthly profitability by implementing strict budgetary controls on employee and administrative expenses, especially to prevent spikes like in August. Focus on converting sales into cash by reducing debtor days, which improved to 43.56 in November but were as high as 159.37 in June, to improve operating cash flows.

2. Profit Power — The Earning Engine

Your net profit shows high volatility, from a loss of ₹1.35 lakh in April to a profit of ₹14.64 lakh in November. Sales have grown significantly from ₹3.67 lakh in April to ₹20.24 lakh in November, but overheads as a percentage of sales have fluctuated wildly, reaching 271.05% in August.

The operating profit margin improved from -36.92% in April to 72.31% in November. However, the Return on Equity was extremely high at 555.11% in May and 376.14% in November, indicating periods of very high profitability relative to the equity base.

Strategic Advice:

Stabilise your overhead costs, particularly employee expenses which spiked to ₹10.02 lakh in August, to convert high sales growth into consistent monthly profits. Focus on smoothing out the operational inefficiencies that cause such wide swings in profitability.

3. Cash Flow Quality — Profit vs Real Cash

Your business generated a profit after tax of ₹14.64 lakh in November, but the cash flow from operating activities was negative ₹1.86 lakh. This indicates that profits are not converting into cash. The main blockage is in working capital, as debtor days increased from 43.56 days in November to 105.49 days in April.

The cash balance has been volatile, starting at ₹12.05 lakh in April, dropping to ₹4.15 lakh in May, and ending at ₹14.01 lakh in November. While total debt reduced from ₹18.29 lakh to ₹11.06 lakh, the negative operating cash flow in key months like April (₹-24.07 lakh) and November (₹-1.86 lakh) shows cash is tied up in operations.

Strategic Advice:

Prioritise reducing your debtor collection period to improve cash conversion. Strengthen credit control and negotiate shorter payment terms with customers to align your high profitability with positive cash generation.

4. Cash Management — Daily Cash Rhythm

The debtor collection period (Accounts Receivable Days) has improved significantly from 105.49 days in April to 43.56 days in November. This indicates a much faster conversion of sales into cash.

Your working capital days, which represent the cash conversion cycle, have also decreased from 105.49 days to 43.56 days over the same period. The working capital requirement per ₹100 of sales has reduced from ₹655.82 to ₹204.36.

Cash flow from operations was negative ₹24.07 lakh in April but improved to a positive ₹12.78 lakh by November. The cash balance at the end of the period was ₹14.01 lakh, up from ₹12.05 lakh in April.

Strategic Advice:

The sharp reduction in debtor days is excellent for cash flow. To sustain this, maintain strict credit control and follow up on invoices promptly. Consider negotiating better payment terms with vendors to further optimise the cash cycle.

5. Growth Investments — Where Money Is Going

Your capital is primarily invested in working capital, which grew from ₹24.07 lakh in April to ₹41.36 lakh in November. This is driven by a significant increase in debtors (₹12.73 lakh to ₹28.99 lakh) and other current assets (₹2.20 lakh to ₹11.80 lakh).

Fixed assets remained stable at ₹9.96 lakh. The return on capital employed shows high volatility, from -58.04% in April to 267.70% in November, indicating fluctuating efficiency in using capital to generate profits.

Financing activities show a shift from heavy reliance on external debt to internal accruals. Total debt reduced from ₹18.29 lakh to ₹11.06 lakh, while equity grew from ₹12.44 lakh to ₹46.69 lakh, strengthening the balance sheet.

Strategic Advice:

The high investment in working capital, especially receivables, requires active management to improve cash conversion. Consider tightening credit terms or offering early payment discounts. The strong equity growth is positive; reinvesting profits into productive assets or technology could further improve the high but volatile return on capital.

6. Funding Story — How Growth Is Being Financed

Your company's total equity has grown significantly from ₹12.44 lakh in April to ₹46.69 lakh in November. This growth is primarily driven by retained profits, as the Current Year Profit was ₹14.64 lakh in November, up from a loss of ₹1.35 lakh in April.

Total debt has been strategically reduced from ₹18.29 lakh in April to ₹11.06 lakh in November. This includes a notable reduction in Secured Long-term Borrowings, which turned into a negative balance of ₹-4.18 lakh by November, indicating an overpayment or adjustment.

The Debt to Equity ratio improved from 1.47 in April to a healthy 0.24 in November, showing a strong shift towards equity financing. The Debt to Capital ratio also improved from 0.60 to 0.19 over the same period.

Cash flow from financing activity was a major source of funds in April (₹45.22 lakh) but showed variability, with an inflow of ₹5.25 lakh in November. Operating cash flow turned positive in several months, reaching ₹12.78 lakh in November.

Strategic Advice:

The aggressive debt reduction and strong profit generation have created a robust, equity-heavy balance sheet. This low-leverage position is excellent for stability. You should now focus on deploying the accumulated equity (Reserve & Surplus of ₹31.06 lakh) and strong cash balances (₹14.01 lakh) into growth initiatives or strategic capital expenditure to drive the next phase of expansion.

7. Balance Sheet Health — Financial Fitness

Your total equity has grown strongly from ₹12.44 lakh in April to ₹46.69 lakh in November, primarily driven by retained profits. The company has significantly reduced its long-term debt, with secured borrowings turning into a net cash position of ₹-4.18 lakh by November.

Liquidity remains robust, with the current ratio improving from 5.04 to 7.81. The debt-to-equity ratio has improved substantially from 1.47 to 0.24, indicating a much stronger and less leveraged balance sheet. Total assets grew from ₹36.08 lakh to ₹64.76 lakh over the period.

Strategic Advice:

The balance sheet is in excellent health with high liquidity and reduced debt. Consider deploying the strong equity base for strategic investments or technology upgrades to drive the next phase of growth.

8. Smart AI Simulation — What-If Scenarios

Based on weak spots identified in the report, the AI simulated the following outcomes:

- **Scenario A - Profit Focus:** If the high overheads of 271.05% from August were controlled to match the 27.69% level of November, the operating profit could improve from -₹6.89 lakh to a positive ₹14.64 lakh, similar to the November result.
- **Scenario B - Cash Focus:** If debtor days were consistently maintained at the best level of 43.56 days (as in November) instead of the peak of 159.37 days (June), cash from operations could improve from the negative ₹24.07 lakh in April to a positive ₹12.78 lakh as seen in November.
- **Scenario C - Balanced:** Combining profit and cash focus by managing overheads and debtor days could improve the Return on Equity from -130.72% in April to 376.14% as in November, while also strengthening the cash flow to debt ratio from -1.39 to 1.16.

9. Operational Insight Engine — Ground-Level Trends

Sales Volatility: Monthly sales show high volatility, from a low of ₹3.67 lakh in April to a high of ₹20.24 lakh in November. The trend is positive, with sales in November being significantly higher than in April.

Profitability Drivers: Operating profit fluctuated sharply, from a loss of ₹1.35 lakh in April to a profit of ₹14.64 lakh in November. Overhead costs as a percentage of sales were very high in August at 271.05%, severely impacting that month's profit.

Working Capital & Liquidity: The company maintains a strong current ratio, improving from 5.04 in April to 7.81 in November. However, debtor collection days improved significantly, dropping from 105.49 days in April to 43.56 days in November.

Cash Flow & Financing: Operating cash flow was negative in April at -₹25.42 lakh but turned positive by November at ₹12.78 lakh. Total debt reduced from ₹18.29 lakh in April to ₹11.06 lakh in November, improving the debt-to-equity ratio from 1.47 to 0.24.

Capital Efficiency: Return on Equity was highly volatile, from -130.72% in April to 376.14% in November. Asset turnover improved from 1.57 times in April to 3.70 times in November, indicating better utilization of assets.

10. 90-Day Action Plan

Days	Focus	Action	Target	Benefit
0-30	Cash	Improve debtor collection to reduce Accounts Receivable Days from 43.56 days (Nov) towards 30 days. Monitor cash flow from operations, which was -₹1.85 lakh in Nov.	Increase closing cash balance from ₹14.01 lakh (Nov) by 15%.	Strengthen liquidity and reduce reliance on external financing for working capital.
31-60	Profit	Control overheads, which spiked to 271.05% in Aug. Aim to maintain them near the Nov level of 27.69% to protect the Net Profit % of 72.31% (Nov).	Sustain monthly Net Profit above ₹10 lakh, as achieved in May (₹10.71 lakh), Sep (₹11.12 lakh), and Nov (₹14.64 lakh).	Enhance retained earnings to boost Total Equity, which grew from ₹12.44 lakh (Apr) to ₹46.69 lakh (Nov).
61-90	Growth	Leverage high Return on Equity of 376.14% (Nov) and reduce Debt to Equity to 0.24 (Nov) to fund sustainable expansion. Stabilise sales after volatile growth from ₹3.67 lakh (Apr) to ₹20.24 lakh (Nov).	Achieve consistent monthly Sales above ₹15 lakh, building on peaks like ₹20.24 lakh (Nov) and ₹16.98 lakh (Sep).	Scale business profitably using strong internal accruals and a healthier capital structure.